



EmpireOneCX

PAYROLL 101

Understanding the basics of Compensation

<https://empireonecx.com/>



Contents:

- Payroll Cut-off and Pay-out
- Computing your pay:
 - monthly rate
 - daily rate
 - hourly rate
 - 13th month pay
- Holiday pay rates
- Overtime (OT) Computations



Contents:

- Taxable vs Non-Taxable Income
- Government Contributions:
 - SSS
 - PhilHealth
 - PAG-IBIG/HDMF
 - Taxes
- Schedule for Payroll deduction vs Payroll additions



Payroll Cut-off and Pay-out

Payroll Cut-off and Pay-out

Payroll Cut-off - the period covered by attendance, leave, OT, holiday and other payroll inputs.

Pay-Out Date - date salary is actually released to the employee.

Payroll Cut-Off

1st – 15th



Pay-Out - 25th

Payroll Cut-Off

16th – End of Month



Pay-Out - 10th
of the following month



Computing your pay

Computing your Pay

Understanding Your Salary, Deductions, and Net Pay

Basic Formula: $\text{Gross Pay} - \text{Total Deductions} = \text{Net Pay}$

- Gross Pay – salary before deductions
- Deductions – Government contributions, salary loans, lates, absences, undertime, etc.
- Net Pay – the amount you actually receive

Computing Daily Rate

$$\text{Daily Rate} = \text{Monthly Salary} \times 12 \text{ months} \div 261 \text{ days}$$

Example:

- Monthly Salary = ₱20,000

$$₱20,000 \times 12 = ₱240,000$$

$$₱240,000 \div 261 = ₱919.54/\text{day}$$

Computing Hourly Rate

$$\text{Hourly Rate} = \text{Daily Rate} \div 8 \text{ hours}$$

Example:

$$₱919.54 \div 8 = ₱114.94/\text{hour}$$

How to compute 13th Month pay

13th Month Pay = Total basic salary earned during the calendar year $\div$ 12

Formula:

13th Month Pay = Total Basic Salary Earned $\div$ 12

Important: It is based on total basic salary, not on total gross pay.

Example:

Employee's total basic salary earned for the year:

₱240,000

Computation:

$\text{₱}240,000 \div 12 = \text{₱}20,000$

🎉 13th Month Pay = ₱20,000



**Holiday pay (Regular vs
Special; Worked vs Not
Worked; if on RD)**

Holiday pay (Regular vs Special; Worked vs Not Worked; if on RD)

● REGULAR HOLIDAY

Did you work?

NO → 100%

YES → 200%

YES + REST DAY → 260%

● SPECIAL NON-WORKING HOLIDAY

Did you work?

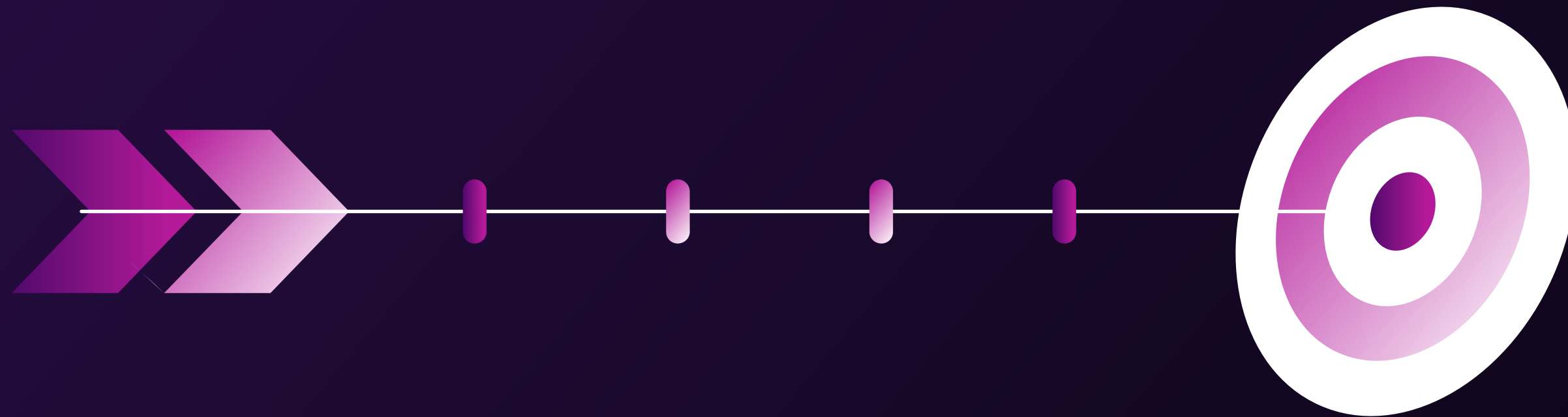
NO → Generally No Work, No Pay

YES → 130%

YES + REST DAY → 150%



How to compute Overtime
(if Regular OT, NSD, RDOT, RDOT after 8hrs,
Special Holiday, RD but Special Holiday, Regular
Holiday, RD but Regular Holiday)



How to Compute Overtime Pay



Basic Formula

Hourly Rate $\times$ OT Multiplier $\times$ Number of OT Hours = OT Pay

First, determine: Hourly Rate = Daily Rate $\div$ 8 hours

Regular Overtime (Regular Day)

For OT beyond 8 hours on a regular working day:

Basic Formula

$$\text{Hourly Rate} \times 125\% \times \text{OT Hours}$$

Example:

Hourly Rate = ₱100

OT = 2 hours

$$₱100 \times 1.25 \times 2 = ₱250 \text{ OT Pay}$$



Night Shift Differential (NSD)

→ NSD is an additional 10% for work performed between 10:00 PM and 6:00 AM.

Basic Formula

$$\text{Hourly Rate} \times 10\% \times \text{NSD Hours}$$

Example:

$$₱125 \times 10\% \times 8 \text{ hrs} = ₱100$$



Rest Day OT (RDOT)

→ Working on a scheduled rest day:

Basic Formula

Hourly Rate × 130% × Hours Worked



RDOT After 8 Hours

→ For overtime beyond 8 hours on a rest day:

Basic Formula

Hourly Rate × 169% × OT Hours

Example:

₱100 × 1.69 × 2 hours = ₱338

Special Non-Working Holiday

→ Working on a special non-working holiday:

Basic Formula

Hourly Rate × 130% × Hours Worked



Rest Day + Special Holiday

→ If a special non-working holiday falls on your rest day:

Basic Formula

Hourly Rate × 150% × Hours Worked

Regular Holiday

→ Working on a regular holiday:

Basic Formula

Hourly Rate × 200% × Hours Worked

Rest Day + Regular Holiday

→ If a regular holiday falls on your rest day:

Basic Formula

Hourly Rate × 260% × Hours Worked





Determining Government Contributions

How to determine the contribution for SSS, Philhealth and Pag-IBIG

How the Amount is Determined

❖ SSS

- Based on the applicable SSS contribution schedule and Monthly Salary Credit

❖ PhilHealth

- Based on the applicable PhilHealth contribution rate and compensation rules

❖ Pag-IBIG

- Based on the applicable Pag-IBIG contribution rules and monthly compensation

SSS

- [Link to SSS Schedule](#)
- Monthly Salary Credit - Gross Monthly Pay
- 15% to SSS: 10% from Employer, **5% from Employee**

- **Minimum: P250**
- **Maximum: P1,750**

PhilHealth

- Base: Monthly Basic Pay
- 5% to PhilHealth: 2.5% from Employer, **2.5% from Employee**
- **Minimum: P500**
- **Maximum: P5,000**

PAG-IBIG

- Base: Monthly Basic Pay
- **2% from Employee**

- **Minimum: P15**
- **Maximum: P200**



How to Compute Withholding Tax

How to Compute Withholding Tax

- Withholding Tax is computed on taxable compensation after deducting mandatory government contributions and applying the applicable BIR withholding tax table.

STEPS:

01

Compute Gross Taxable Compensation

- Basic Salary
- OT Pay
- NSD
- Holiday Pay
- Taxable Allowances

02

Less Non-Taxable Deductions

- SSS
- PhilHealth
- Pag-IBIG

How to Compute Withholding Tax

STEPS:

03

Determine Taxable Income

Taxable Income = Gross Pay – Non-Taxable Deductions

04

**Refer to the Applicable BIR
Withholding Tax Table**

- Monthly
- Semi-Monthly
- Weekly
- Daily

For companies with a semi-monthly payroll cycle, withholding tax is computed using the Semi-Monthly Withholding Tax Table based on the employee's taxable compensation income after deducting non-taxable statutory contributions and qualified tax-exempt benefits.

How to Compute Withholding Tax

STEPS:

05

**Compute Withholding Tax
Based on Tax Bracket**

06

Compute Net Pay

$$\text{Net Pay} = \text{Gross Pay} - \text{Deductions} - \text{Withholding Tax}$$

Semi-Monthly Taxable Compensation	Prescribed Withholding Tax
₱10,417 and below	No Tax
Over ₱10,417 – ₱16,666	15% of excess over ₱10,417
Over ₱16,667 – ₱33,332	₱937.50 + 20% of excess over ₱16,667
Over ₱33,333 – ₱83,332	₱4,270.70 + 25% of excess over ₱33,333
Over ₱83,333 – ₱333,332	₱16,770.70 + 30% of excess over ₱83,333
Over ₱333,333	₱91,770.70 + 35% of excess over ₱333,333

Sample Computation:

Semi-Monthly Taxable Income: ₱25,000

Since ₱25,000 falls under ₱16,667 – ₱33,332:

$$\text{Tax} = \text{₱}937.50 + 20\% (\text{₱}25,000 - \text{₱}16,667)$$

$$\text{Tax} = \text{₱}937.50 + (\text{₱}8,333 \times 20\%)$$

$$\text{Tax} = \text{₱}937.50 + \text{₱}1,666.60$$

Withholding Tax = ₱2,604.10



Taxable vs. Non-Taxable Income

Taxable vs. Non-Taxable Income



Taxable Income-compensation and benefits that form part of an employee's taxable earnings and are subject to withholding tax on compensation.

Examples:

- Basic salary
- Overtime pay
- Holiday pay
- Night shift differential
- Taxable allowances
- Bonuses/incentives exceeding the tax-exempt threshold

Taxable vs. Non-Taxable Income



Non-Taxable Income - Income or benefits that are excluded from taxable compensation, subject to applicable limits and rules.

Examples:

- SSS contributions
- PhilHealth contributions
- Pag-IBIG contributions
- De minimis benefits within allowed limits
- 13th-month pay and other benefits up to ₱90,000

Example:

Payroll Component	Amount	Tax Treatment
Basic Salary	₱30,000	Taxable
Overtime Pay	₱2,000	Taxable
De Minimis (within limit)	₱2,000	Non-Taxable
SSS Contribution	₱1,000	Non-Taxable



Schedule for Payroll Deductions vs. Payroll Additions

Schedule for Payroll Deductions vs. Payroll Additions

Payroll Additions

These are earnings added to an employee's gross pay.

Examples:

- Basic Salary
- Overtime Pay (OT)
- Night Shift Differential (NSD)
- Holiday Pay
- Premium Pay
- Incentives and Bonuses
- Allowances



Payroll Deductions

These are amounts deducted from an employee's pay.

Statutory Deductions

- Withholding Tax
- SSS Contribution
- PhilHealth Contribution
- Pag-IBIG Contribution

Other Deductions

- Salary Loans
- Company Loans
- Absences and Tardiness
- Other Authorized Deductions



Thank You!

Questions?

